

PROMISES PARADE

Once again, parties bait voters with free power and loan waivers. Can the state deliver the goodies or are these just tall claims?

Karnataka politicians are engaged in a populist race downhill. As in other states, sops are being carved out of public resources in return for political power. Since the 1980s, when the then

Andhra Pradesh chief minister N.T. Rama Rao started the cheap-rice-free-power race, almost every political party has fallen victim to the easy politics of trying to buy votes. What is worse is there is no original thought.

GOING THE POPULIST WAY

BJP



COST OF SOPS:
Rs 1,00,000 crore in the next five years

- Rice at Rs 2/kg for 11.2 lakh BPL families
- Increase in the income threshold for BPL families from Rs 11,800 to Rs 60,000 a year
- Free power for farmers for irrigation
- Farm loans at an interest of 3 per cent
- Land acquisition policy to protect farmers
- Houses for 15 lakh poor families in five years
- Rs 1,500 monthly stipend for unemployed youth
- Rs 500-crore fund to support farmers during price crash situations

CONGRESS



COST OF SOPS:
Rs 90,000 crore in the next five years

- Free colour TVs; rice, wheat, jowar and ragi at Rs 2/kg for BPL families
- A food guarantee scheme for the aged, the socially deprived and the disabled
- Free power for marginal farmers
- Loans at 3 per cent interest rate for farmers, women's self-help groups, artisans, fishermen
- Waiving of all pending loans under the Ashraya and Awaz Yojana Scheme
- A monthly stipend of Rs 1,200 for two years for unemployed youth who have passed Class X

JD(S)



COST OF SOPS:
Rs 85,000 crore in the next five years

- Free cooking gas and stoves for BPL families
- Free power for marginal farmers
- Writing-off of all debts of farmers and labourers
- 30-per cent reservation for Kannadigas in the state's booming IT and biotechnology companies
- A model plan to develop Bangalore like Beijing
- Suraksha, a new insurance policy for owners of rickshaws, taxis, private lorries and buses
- Free private school education for children from BPL families

The political herd is dictating the terms of engagement in Karnataka, but can the state afford to deliver the goodies? And can the parties make it work?

"Betting on growth is the only way to raise the enormous resources needed to fulfil all the promises made by political parties in their manifestoes," says Rajeev Gowda, economics professor at the Indian Institute of Management, Bangalore, who believes that hope rests on a good monsoon and growth in the private sector. Other experts feel the state may have to resort to selling lottery tickets again to mop up extra revenue to fulfil the electoral promises. For economist Narendar Pani, professor at the School of Social Sciences, National Institute of Advanced Studies, Bangalore, the only way out is to "completely restructure the economy". The state has the maximum income disparity in the country, with the richest living in Bangalore and the poorest in Bidar.

Spending on populist schemes would mean lesser outlay for human development schemes in Karnataka, which became the first state to enact the Fiscal Responsibility and Budgetary Management Act in 2002. The legislation mandated that the government should limit the fiscal deficit to 3 per cent of the state's GDP, to ensure a revenue surplus. The state's budget for 2008-09 presents a revenue surplus of about Rs 2,980 crore, from which the wage bill will eat away Rs 1,500 crore, leaving little for sops.

It is competitive populism of the highest order. The Congress—which is talking of private-public partnership to fulfil some of its promises—has promised a huge loan write-off for farmers and is betting high on a Central loan waiver. JD(S) honcho H.D. Deve Gowda, the self-proclaimed messiah of farmers, is not willing to give any credit to the Centre when it comes to loan waivers. He wants to go a step further than Y.S. Rajasekhara Reddy, who gave free power to farmers soon after he became chief minister of Andhra Pradesh. This comes at a time when there is a 13-per-cent power deficit in the state. Now everybody wants to do a Gowda because that is the only way to reach out to the majority and get the much-required votes.

by Stephen David